PURPOSE CAPITAL
Guiding Capital with Purpose

POLICY · AML/CFT

Anti-Money Laundering and Counter-Terrorist Financing Policy

Version **0.9** DRAFT

Owner	Head of Compliance and Internal Control (RCCI)
Next review	12 months after adoption
Confidentiality	Internal

DRAFT

Purpose Capital S.A.
Rue Joseph Essono Balla, Elig-Essono, Yaoundé (Cameroun)

Courtesy translation — the French version prevails.
Issued on 3 November 2026

Document control sheet

Courtesy translation — the French version prevails.

Reference	PC-POL-LBC-001	**Version**	0.9 — Draft
Title	Anti-Money Laundering and Counter-Terrorist Financing Policy		
Type · domain	Policy · AML/CFT	**Confidentiality**	Internal
Owner	Head of Compliance and Internal Control (RCCI)		
Distribution	All Staff Members, directors and service providers with access to client data		
Effective date	On adoption	**Next review**	12 months after adoption

APPROVAL WORKFLOW

Step	Function	Electronic sign-off	Handwritten signature
Drafting	Head of Compliance and Internal Control (RCCI)		
Review	Chief Executive Officer		Date and signature
Approval	Board of Directors		Date and signature

REVISION HISTORY

Version	Date	Purpose	By
0.9	2 November 2026	Formatting: adoption dates and signatures moved to the document control sheet	Compliance Officer
0.9	20 October 2026	Initial draft submitted to the Board of Directors	Compliance Officer
0.9	19 October 2026	Projet initial soumis au Conseil d'Administration	Compliance Officer

REFERENCE TEXTS

Regulation No. 02/24/CEMAC/UMAC/CM of 20 December 2024 Overview · droitmediasfinance.com	Due diligence obligations, risk-based approach, beneficial owners, suspicious transaction reports, record keeping, prohibition of cash payments above FCFA 5,000,000
Regulation No. 04/24/CEMAC/UMAC/CM of 20 December 2024 Overview · droitmediasfinance.com	Implementation of targeted financial sanctions and asset freezing
COSUMAF General Regulation of 23 May 2023 Official text · cosumaf.org	Identification of clients before client onboarding (Art. 94), identification as an ethical obligation (Art. 99), origin and destination of funds (Art. 104), ten-year retention (Art. 105), AML/CFT officer and register of high-risk persons (Art. 112)
COSUMAF AML/CFT Guidelines (September 2025) Overview · droitmediasfinance.com	Risk-based approach, identification, beneficial owner, politically exposed persons, red flags, written framework
COBAC AML/CFT Guidelines (February 2025) Overview · droitmediasfinance.com	Regional good practice: beneficial owners, politically exposed persons, suspicious transaction reports
FATF — Jurisdictions under Increased Monitoring and High-Risk Jurisdictions Official page · fatf-gafi.org	Jurisdictions under increased monitoring and high-risk jurisdictions

DRAFT

FATF — Guidance for a Risk-Based Approach for the Securities Sector (2018) Overview · cssf.lu	Risk-based approach for the securities sector
AMF (France) — Guidelines on the risk-based approach to AML/CFT Official text · amf-france.org	Foreign good practice: risk classification and due diligence measures of market intermediaries
AMF (France) — Guidelines on the concept of politically exposed person Official text · amf-france.org	Foreign good practice: concept of politically exposed person

DRAFT

Contents

I. General provisions

Article 1 — Purpose
Article 2 — Why this policy matters to the Company
Article 3 — Legal texts and references
Article 4 — Definitions

II. Organisation

Article 5 — Roles and responsibilities
Article 6 — Independence and access to information

III. Risk-based approach

Article 7 — Company risk assessment
Article 8 — Client classification
Article 9 — National context
Article 10 — Prohibited relationships

IV. Know your customer

Article 11 — Client onboarding
Article 12 — Onboarding decision
Article 13 — Simplified due diligence
Article 14 — Enhanced due diligence
Article 15 — Politically exposed persons
Article 16 — Payments and settlement of funds
Article 17 — Remote client onboarding
Article 18 — Updating of files

V. Transaction monitoring

Article 19 — Ongoing monitoring
Article 20 — Enhanced examination

VI. Targeted financial sanctions and asset freezing

Article 21 — Screening
Article 22 — Freezing without delay

VII. Suspicious transaction reporting

Article 23 — Internal reporting
Article 24 — Analysis and reporting to ANIF
Article 25 — Confidentiality and protection

VIII. Record keeping, training and control

Article 26 — Record keeping
Article 27 — Training
Article 28 — Control and annual report

IX. Final provisions

Article 29 — Sanctions
Article 30 — Review and entry into force

Appendices

Appendix “Client risk classification” — Client risk classification matrix
Appendix “Identification documents and PEPs” — Identification documents and list of PEP functions
Appendix “Red flags” — Red flags specific to securities transactions
Appendix “Suspicious transaction report” — Internal suspicious transaction report form
Appendix “High-risk approval” — Approval form for a high-risk relationship or a relationship with a PEP

DRAFT

Title I — General provisions

Article 1 — Purpose

This policy sets out the rules that Purpose Capital S.A. (the "Company") applies to prevent its services from being used to launder money, finance terrorism or finance the proliferation of weapons of mass destruction. It describes who does what, when and how.

It gives effect to Title VII of the Code of Conduct (PC-COD-001), which lays down its principles.

Article 2 — Why this policy matters to the Company

A brokerage firm (société de bourse) is exposed because it receives funds, converts them into securities and may return them to another account or at a later date. A stock market transaction can therefore be used to give a legitimate appearance to money of criminal origin, or to move funds for the benefit of persons subject to sanctions.

The consequences for the Company would be serious: criminal and disciplinary sanctions, withdrawal of its licence, loss of client confidence, and the termination of relationships with its banks and foreign correspondents. This last risk is heightened for as long as Cameroon remains on the FATF list of jurisdictions under increased monitoring: foreign partners expect Cameroonian intermediaries to have an exemplary framework.

Article 3 — Legal texts and references

The policy applies:

- Regulation No. 02/24/CEMAC/UMAC/CM of 20 December 2024 on the prevention and suppression of money laundering and the financing of terrorism and proliferation in Central Africa;
- Regulation No. 04/24/CEMAC/UMAC/CM of 20 December 2024 on targeted financial sanctions;
- the COSUMAF General Regulation of 23 May 2023 and the COSUMAF AML/CFT guidelines published in September 2025.

It also draws on international good practice, adapted to the CEMAC context: the FATF Recommendations and guidance for the securities sector, the COBAC guidelines of February 2025, and the guidelines of the French Autorité des marchés financiers (AMF) on the risk-based approach and on politically exposed persons. Where a good practice is more demanding than the regulations, the Company applies it; it never adopts a rule that is less demanding than CEMAC law.

Article 4 — Definitions

- **Money laundering**: concealing the illicit origin of property or funds, converting, transferring, holding or using them in the knowledge of that origin, or helping someone to do so.
- **Terrorist financing**: providing or collecting funds, even of lawful origin, in the knowledge that they will be used to commit a terrorist act or to support a terrorist or a terrorist organisation.
- **Proliferation financing**: providing funds or financial services used to manufacture, acquire or transport nuclear, chemical or biological weapons.
- **Client**: any natural or legal person, or any arrangement without legal personality (fund, association, trust), for which the Company provides a service, on a lasting basis (business relationship) or on a one-off basis (occasional transaction).

DRAFT

- **Beneficial owner**: the natural person or persons who ultimately own or control the client, or on whose behalf a transaction is carried out. For a company, this means any person who holds, directly or indirectly, more than 25% of the capital or voting rights, or who exercises control by any other means; failing that, the principal senior manager.
- **Politically exposed person (PEP)**: a person who holds or has held a prominent public function, in a CEMAC country or abroad, or in an international organisation; together with the members of his or her family and persons known to be close associates. Appendix “Identification documents and PEPs” sets out the list.
- **Targeted financial sanctions**: measures freezing funds and prohibiting funds from being made available, directed at persons designated by the United Nations Security Council or by the competent authorities of the CEMAC and its Member States.
- **ANIF**: Agence nationale d'investigation financière (National Financial Investigation Agency), the financial intelligence unit of the State concerned; the sole recipient of suspicious transaction reports.

DRAFT

Title II — Organisation

Article 5 — Roles and responsibilities

Function	Responsibilities
Board of Directors	Approves the policy and the Company's risk assessment; receives the AML/CFT report each year; ensures that resources are sufficient
Chief Executive Officer	Responsible for implementation; approves high-risk relationships and relationships with PEPs; guarantees the independence and resources of the AML/CFT Officer
AML/CFT Officer (function performed by the RCCI)	Keeps the framework up to date; assesses risks; validates high-risk relationships; analyses alerts; decides on suspicious transaction reports and sends them to ANIF; keeps the registers; trains Staff Members; reports
Deputy AML/CFT Officer	Stands in for the AML/CFT Officer in his or her absence, in particular for urgent reports and asset freezing
Relationship managers and sales function	Collect and verify client information; assess client profiles; report any unusual situation without delay
Operations function	Verifies the origin of funds received and the destination of funds paid out; blocks any non-compliant transaction; applies freezes
All Staff Members	Apply the policy; report any suspicious transaction; never alert a client to a suspicion

The regulations allow the function of AML/CFT Officer to be entrusted to the compliance and internal control function where the size of the firm justifies it. The appointment of the AML/CFT Officer and his or her deputy is notified to ANIF and COSUMAF.

Article 6 — Independence and access to information

The AML/CFT Officer has unrestricted access to all information and all files. He or she may object to a client onboarding or to a transaction. No commercial objective may justify overriding that objection. Management may neither prevent nor delay his or her decision to report a suspicion.

DRAFT

Title III — Risk-based approach

Article 7 — Company risk assessment

The AML/CFT Officer prepares, and updates at least once a year, a written assessment of the risks to which the Company is exposed. It takes into account the national risk assessment, the reports of ANIF and GABAC, FATF publications and the COSUMAF guidelines. It is approved by the Board of Directors.

It analyses four categories of factors:

Factor	Situations that increase risk in the Company's context
Clients	Politically exposed persons; companies with a complex structure or opaque shareholding; clients operating in sensitive sectors (extractive industries, logging, public procurement, manual currency exchange, virtual assets); associations and non-profit organisations; non-resident clients
Products and services	Accounts through which funds come in and go out without genuine investment; free-of-payment transfers of securities between persons with no apparent connection; illiquid securities whose price can be manipulated; large subscriptions to primary issues
Channels	Remote client onboarding; orders transmitted by third parties; business introducers
Geography	Countries under increased monitoring or high-risk countries designated by the FATF; countries subject to international sanctions; areas exposed to terrorism (Lake Chad basin, border regions); payments received from abroad with no connection to the client

Article 8 — Client classification

Before client onboarding, each client is classified into one of three risk levels: **low**, **standard** or **high**. The classification results from the matrix in Appendix “Client risk classification”. It is recorded in the client file and reviewed at each update of the file or upon any significant event.

A client is classified as **high** risk, regardless of score, where the client is a PEP or connected to a PEP, where the client resides in, or the client's funds come from, a high-risk country designated by the FATF, where the client's structure does not allow its beneficial owners to be clearly identified, or where the client has been the subject of a suspicious transaction report.

Article 9 — National context

Cameroon has been on the FATF list of jurisdictions under increased monitoring since 2023. In June 2026 it remained on that list, the FATF noting in particular shortcomings in the risk-based supervision of non-bank financial institutions and in the effective implementation of targeted financial sanctions.

The Company draws two consequences from this: it applies the measures of this policy rigorously, and it documents each decision so that it can justify it at any time to COSUMAF, its banks and its foreign partners.

Article 10 — Prohibited relationships

The Company does not enter into a relationship, or terminates the relationship, where:

- the client refuses to identify himself or herself, to provide the required information or to substantiate the origin of his or her funds;
- the identity of the client or of the client's beneficial owner cannot be established;

DRAFT

- the client is a person subject to a freezing measure or a shell bank, with no physical presence and no affiliation to a regulated group;
- the client requests an anonymous account or an account in a fictitious name;
- the client resides in a country subject to a FATF call for countermeasures, unless the Chief Executive Officer takes a reasoned decision after obtaining the opinion of the AML/CFT Officer.

DRAFT

Title IV — Knowyour customer

Article 11 — Client onboarding

Before the account agreement is signed and before any transaction, the Company:

1. **identifies** the client and, where applicable, the client's representative and beneficial owners;
2. **verifies** their identity on the basis of the original documents listed in Appendix “Identification documents and PEPs”, or certified copies, and of reliable and independent sources;
3. **collects** information on the purpose and intended nature of the relationship, the client's professional and financial situation and the origin of the client's funds;
4. **screens** the client, the client's representative and beneficial owners against sanctions and PEP lists;
5. **classifies** the client using the matrix in Appendix “Client risk classification”;
6. **decides** on client onboarding according to the risk level (Article 12).

Copies of the documents are kept on file, together with the date and the name of the Staff Member who saw the originals.

Article 12 — Onboarding decision

Risk level	Who decides	Conditions
Low	Relationship manager	Complete file
Standard	Relationship manager, with the file checked by the AML/CFT Officer within one month	Complete file
High	Chief Executive Officer, after the written opinion of the AML/CFT Officer (Appendix “High-risk approval”)	Enhanced due diligence measures under Article 14
PEP	Chief Executive Officer, after the written opinion of the AML/CFT Officer (Appendix “High-risk approval”)	Measures under Article 15; Board of Directors informed in the annual report

Article 13 — Simplified due diligence

Measures may be reduced, but never dispensed with, where the risk is low and documented: credit institutions and licensed intermediaries in the CEMAC, listed companies subject to disclosure requirements, CEMAC States and public authorities. Identification and screening remain mandatory. Simplified due diligence never applies where there is a suspicion.

Article 14 — Enhanced due diligence

For a high-risk client, the Company, in addition to the measures in Article 11:

- obtains evidence of the source of funds and, where necessary, the source of wealth (bank statements, deed of sale, inheritance, declared income);
- gathers additional information on the client's activity and reputation, including through open-source searches;
- updates the file at least once a year;
- applies enhanced monitoring of the client's transactions, with lower alert thresholds;
- enters the client in the register of high-risk persons kept by the AML/CFT Officer.

DRAFT

Article 15 — Politically exposed persons

For any relationship with a PEP, a member of his or her family or a person known to be a close associate, the Company applies the measures in Article 14 and:

- obtains the approval of the Chief Executive Officer before client onboarding, or as soon as PEP status is discovered during the relationship;
- establishes the source of wealth and of the funds involved;
- verifies that transactions are consistent with declared income and wealth;
- maintains these measures for at least twelve months after the person leaves office, and thereafter for as long as the risk warrants.

PEP status is not in itself a suspicion. It calls for proportionate due diligence, not systematic refusal.

Article 16 — Payments and settlement of funds

To prevent the Company from being used as a channel for moving funds:

1. the Company **accepts no cash payments**; the regulations in any event prohibit cash payments above FCFA 5,000,000;
2. funds are received by bank transfer or electronic money, from an account opened **in the client's name**;
3. funds are returned **only to an account in the client's name**;
4. payments from third parties, and payments to third parties, are refused, save for a documented exception validated by the AML/CFT Officer (for example, a subscription made for a minor by his or her legal representative);
5. funds paid in without any securities transaction within a reasonable period, and then requested back, are examined as an unusual transaction.

Article 17 — Remote client onboarding

Client onboarding without physical presence is permitted where the Company obtains at least two independent verification elements: a certified true copy of the identity document, a recorded video-conference interview, or a first payment from a bank account in the client's name opened with a regulated institution in the CEMAC. The client is then classified as at least standard risk.

Article 18 — Updating of files

Files are updated at least every two years for low- or standard-risk clients, and every year for high-risk clients. They are also updated upon any significant change: change of beneficial owner, of country of residence or of activity, a transaction unrelated to the client's profile, or an expired document.

Where the client does not provide the requested information within three months, the Company blocks any new transactions, then terminates the relationship and informs the AML/CFT Officer, who assesses whether a suspicious transaction report is appropriate.

DRAFT

Title V — Transaction monitoring

Article 19 — Ongoing monitoring

The Company continuously verifies that its clients' transactions are consistent with what it knows about them: occupation, income, wealth, stated objectives and risk level. Any transaction that is unusual in its amount, complexity or frequency, or that lacks economic justification, is subject to an enhanced examination, the outcome of which is recorded.

Red flags specific to securities transactions are set out in Appendix “Red flags”. They are applied on a day-to-day basis by relationship managers and the operations function, and by the AML/CFT Officer during monthly reviews.

Article 20 — Enhanced examination

The enhanced examination consists of questioning the client about the origin and destination of the funds and the purpose of the transaction, obtaining supporting evidence and assessing whether the client's explanations are consistent. It must never reveal to the client that a suspicion exists. If it does not dispel the doubt, the transaction is reported to the AML/CFT Officer (Article 23).

DRAFT

Title VI — Targeted financial sanctions and asset freezing

Article 21 — Screening

The Company screens its clients, their representatives, their beneficial owners and transaction counterparties against:

- the United Nations Security Council lists relating to terrorism and proliferation;
- the freezing lists adopted within the CEMAC and by its Member States, pursuant to Regulation No. 04/24;
- for risk information purposes, the sanctions lists of the European Union and the United States, on which relationships with correspondent banks depend.

Screening is carried out at client onboarding, at each update of the lists, and before any payment of funds or transfer of securities to a third party.

Article 22 — Freezing without delay

Where a client or counterparty matches a designated person:

1. the Staff Member immediately blocks the transaction and alerts the AML/CFT Officer;
2. the AML/CFT Officer verifies the match (name, date of birth, nationality, document number) to rule out a mere namesake;
3. if the match is confirmed, the Company **freezes without delay and without prior notice** all of the client's funds and securities; no funds are made available to the client;
4. the AML/CFT Officer immediately informs ANIF, the competent national authority for asset freezing and COSUMAF;
5. the freeze remains in place until the competent authority decides otherwise.

The client is not informed before the freeze. Namesakes that are ruled out are documented.

DRAFT

Title VII — Suspicious transaction reporting

Article 23 — Internal reporting

Any Staff Member who knows, suspects or has reasonable grounds to suspect that a transaction or funds derive from an offence or are used to finance terrorism or proliferation reports it **without delay** to the AML/CFT Officer using the form in Appendix “Suspicious transaction report”, even if the transaction has not been carried out or the amount is small. The Staff Member does not have to prove the offence or determine its legal classification.

Article 24 — Analysis and reporting to ANIF

The AML/CFT Officer analyses the internal report within no more than five business days, or immediately if the transaction is pending. He or she alone decides whether or not to report, and gives written reasons for the decision.

The report is sent to ANIF in writing. Where possible, it is made before the transaction is executed, the transaction being suspended in the meantime. Any new information that confirms, strengthens or dispels the suspicion is sent to ANIF without delay. Requests for information from ANIF are answered within the deadlines it sets.

Article 25 — Confidentiality and protection

It is prohibited to inform the client or any third party of the existence of an internal report, a suspicious transaction report or a request from ANIF. Reports and their supporting documents are kept separately, with access restricted to the AML/CFT Officer and his or her deputy.

A report made in good faith gives rise to no liability on the part of the Company or its Staff Members. No adverse measure may be taken against a Staff Member because of a report made in good faith.

DRAFT

Title VIII — Record keeping, training and control

Article 26 — Record keeping

Identification documents, client files, transaction records, enhanced examinations, internal reports and suspicious transaction reports are kept for at least ten years after the end of the relationship or the execution of the transaction. They are kept in such a way that they can be provided without delay to ANIF, COSUMAF or the judicial authorities.

Article 27 — Training

Every new Staff Member is trained in this policy before handling any client file. Annual training, tailored to each person's duties, is given to all Staff Members and directors; it covers the red flags in Appendix “Red flags”, targeted financial sanctions and practical case studies. Attendance is recorded.

Article 28 — Control and annual report

Each month the AML/CFT Officer checks a sample of files and transactions, and each quarter the completeness of screening. Each year the framework is subject to the independent review provided for in Article 10 of the Conflicts of Interest Policy.

Each year the AML/CFT Officer presents to the Board of Directors a report covering: the updated risk assessment, the breakdown of clients by risk level, the number of PEPs, enhanced examinations, internal reports, reports to ANIF and freezes, the results of controls, the training delivered and corrective measures.

DRAFT

Title IX — Final provisions

Article 29 — Sanctions

Any breach of this policy constitutes serious misconduct exposing the person responsible to the sanctions provided for in Article 49 of the Code of Conduct, without prejudice to the criminal penalties provided for by CEMAC regulations and to sanctions imposed by COSUMAF.

Article 30 — Review and entry into force

The policy is reviewed at least once a year, after each FATF plenary concerning the CEMAC, and upon any significant change in regulations or activities. Any amendment is approved by the Board of Directors.

This policy enters into force on the date of its adoption by the Board of Directors, as indicated in the document control sheet.

DRAFT

APPENDIX "CLIENT RISK CLASSIFICATION" · ANTI-MONEY LAUNDERING AND COUNTER-TERRORIST FINANCING POLICY · SCORING GRID

Client risk classification matrix

Version 0.9
Internal

Completed by Relationship manager, validated in accordance with Article 12 **Frequency** At client onboarding and at each update of the file **Kept by** Client file

Add up the points for each factor. **0 to 4 points: low risk · 5 to 9 points: standard risk · 10 points or more: high risk.** An "automatically high" box classifies the client as high risk regardless of the total.

Factor	0 points	2 points	4 points	Automatically high
Type of client	Financial institution or listed company in the CEMAC; State, public authority	Individual employee or retiree; trading company with known shareholders	Sole proprietorship; association, foundation or non-profit organisation; holding company	Structure whose beneficial owner cannot be clearly identified
Political exposure	None	—	Former holder of a prominent public function for more than twelve months	PEP, family member or person known to be a close associate
Activity or source of income	Salary, pension, regulated activity	Trade, liberal profession, agriculture	Extractive industries, logging, public procurement, real estate, manual currency exchange, virtual assets	—
Country of residence or origin of funds	Cameroon or another CEMAC country	Non-CEMAC country not listed by the FATF	Non-CEMAC country under increased FATF monitoring	Country subject to a FATF call for countermeasures or to international sanctions
Onboarding method	In person	Remotely with two independent verifications	Through a business introducer	—
Expected investment amount	Less than FCFA 25,000,000 per year	FCFA 25,000,000 to 250,000,000 per year	More than FCFA 250,000,000 per year	—
Services requested	Investments in listed securities or in collective investment schemes (OPC), custody	Subscriptions to primary issues, government securities	Free-of-payment transfers of securities, orders given by an authorised agent	—
History	No red flags	Unconfirmed adverse information in open sources	Confirmed adverse information	Previous suspicious transaction report

DRAFT

RESULT		
CLIENT	TOTAL POINTS · AUTOMATICALLY HIGH (YES/NO)	LEVEL ASSIGNED · DATE · SIGN-OFF

DRAFT

APPENDIX "IDENTIFICATION DOCUMENTS AND PEPS" · ANTI-MONEY LAUNDERING AND COUNTER-TERRORIST FINANCING POLICY · REFERENCE LIST

Identification documents and list of PEP functions

Version 0.9
Internal

Completed by AML/CFT Officer **Frequency** Updated upon each regulatory change **Kept by** RCCI (compliance file)

Documents to be obtained before client onboarding

Type of client	Identification	Additional supporting documents
Natural person	Valid national identity card or passport; date and place of birth; nationality	Proof of address less than three months old; occupation and employer; proof of income; tax identification number if available
Minor or protected adult	Identity document of the account holder	Identity document of the legal representative and document establishing his or her authority
Trading company	Trade and Personal Property Credit Register (RCCM) extract less than three months old; up-to-date articles of association; tax identification number	List of senior managers and their identity documents; minutes or power of attorney designating the signatories; ownership chart down to the natural persons; latest financial statements
Association, foundation, non-profit organisation	Articles of association; acknowledgement of registration or instrument of authorisation	List of managers; origin of resources (membership fees, donations, grants); intended use of funds
Collective investment scheme	Name, legal form, licence references, ISIN code	Identity and licence of the management company and of the depositary
State, local authority, public body	Instrument of establishment or organisation	Instrument authorising the signatories
Beneficial owner	Identity document; nature and percentage of ownership or control	Signed declaration by the client; extract from the register of beneficial owners where one exists

Functions that confer politically exposed person status

- head of State, head of government, minister and secretary of State;
- member of parliament, member of a governing body of a political party;
- member of a supreme court, a constitutional court or a high court;
- member of a court of auditors or of the board of a central bank;
- ambassador, chargé d'affaires, general officer of the armed forces;
- senior manager or director of a State-owned enterprise;
- senior manager of an international or regional organisation (CEMAC, BEAC, COBAC, COSUMAF, BDEAC, United Nations bodies);
- regional governor, mayor of a large city, senior civil servant at director level or above in a financial, tax or customs administration.

DRAFT

The following are also treated as PEPs: the spouse or partner, children and their spouses, and parents; any person known to hold a business or joint interests with a PEP, or to be the beneficial owner of a structure set up for the benefit of a PEP.

DRAFT

APPENDIX "RED FLAGS" · ANTI-MONEY LAUNDERING AND COUNTER-TERRORIST FINANCING POLICY · REFERENCE LIST

Red flags specific to securities transactions

Version 0.9
Internal

Completed by AML/CFT Officer **Frequency** Updated annually, together with the training **Kept by** RCCI (compliance file) · given to each Staff Member

A red flag is not proof. It requires an enhanced examination (Article 20) and, if doubt remains, a report to the AML/CFT Officer (Article 23).

Category	Red flag	Example
Client behaviour	Reluctance to provide information, inconsistent or doubtful documents	Address cannot be found, identity document recently issued without explanation
Client behaviour	Interest in internal procedures and reporting thresholds rather than in investments	Repeated questions about what triggers a check
Client behaviour	Client clearly acting on behalf of an undisclosed third party	Orders dictated by a person present at meetings
Funds	Large payments without investment, followed by a request for repayment	Deposit of 80 million, no orders for two months, request for a transfer to another country
Funds	Payments received from a third party or request for payment to a third party	Subscription paid by a company with no apparent connection to the client
Funds	Amounts split to fall just below a verification or reporting threshold	Several successive payments of 4.9 million
Funds	Funds originating from a high-risk country or unrelated to the client's situation	Transfers received from a FATF-listed jurisdiction for a resident client with no activity abroad
Transactions	Purchases and sales in quick succession with no economic rationale, acceptance of losses	Purchase of bonds followed by immediate resale at a discount
Transactions	Cross trades between linked accounts in an illiquid security	Two linked clients sell and buy back the same security from each other at rising prices
Transactions	Free-of-payment transfers of securities to persons with no apparent connection	Transfer of securities from a senior manager's account to that of a third party
Transactions	Unusual transactions ahead of a major announcement concerning an issuer	Massive purchase just before the announcement of an offer
Profile	Amounts out of proportion to declared income or wealth	Subscription of 300 million by an employee declaring FCFA 500,000 per month
Profile	PEP or close associate whose investments exceed known income	Regular purchases of government securities for large amounts
Structures	Shell companies, layered shareholdings, nominees	Recently incorporated company, with no activity, owned by another foreign company
Terrorist financing	Small regular amounts to or from conflict zones, non-profit organisation with poorly explained resources	Association whose donations come from unknown sources and which requests frequent withdrawals

DRAFT

APPENDIX "SUSPICIOUS TRANSACTION REPORT" · ANTI-MONEY LAUNDERING AND COUNTER-TERRORIST FINANCING POLICY · CONFIDENTIAL FORM

Internal suspicious transaction report form

Version 0.9
Internal

Completed by Any Staff Member, then the AML/CFT Officer **Frequency** Without delay, as soon as a suspicion arises

Kept by AML/CFT Officer · separate restricted-access file · ten years

Strictly confidential. Never inform the client or any third party of this report.

STAFF MEMBER _____ POSITION _____ DATE AND TIME _____

Client (name, account number)	
Transaction concerned (nature, amount, date, status: executed, pending, refused)	
What appears unusual or suspicious	
Red flags from Appendix "Red flags" concerned	
Explanations given by the client, if any	

Signature of the Staff Member

DECISION OF THE AML/CFT OFFICER (WITHIN 5 BUSINESS DAYS, IMMEDIATELY IF THE TRANSACTION IS PENDING)

☐ No suspicion, reason recorded ☐ Further examination ☐ Suspicious transaction report to ANIF

☐ Transaction suspended ☐ Client reclassified as high risk ☐ Relationship terminated

REASONS _____ DATE SENT TO ANIF · REFERENCE · SIGN-OFF _____

DRAFT

APPENDIX "HIGH-RISK APPROVAL" · ANTI-MONEY LAUNDERING AND COUNTER-TERRORIST FINANCING POLICY · FORM

Approval form for a high-risk relationship or a relationship with a PEP

Version 0.9
Internal

Completed by Relationship manager, AML/CFT Officer, Chief Executive Officer

Frequency Before client onboarding, upon discovery of PEP status, and at each annual review

Kept by Client file · register of high-risk persons

CLIENT _____ RELATIONSHIP MANAGER _____ DATE _____

Reason for high-risk classification (score, automatic criterion, PEP: function held)	
Source of funds and supporting documents obtained	
Source of wealth (for a PEP)	
Purpose of the relationship and expected amounts	
Open-source searches and screening (results)	
Planned enhanced monitoring measures	

OPINION OF THE AML/CFT OFFICER

☐ Favourable ☐ Favourable subject to conditions ☐ Unfavourable

CONDITIONS OR REASONS _____ DATE AND SIGN-OFF _____

DRAFT

DECISION OF THE CHIEF EXECUTIVE OFFICER

☐ Relationship accepted ☐ Relationship refused ☐ Relationship maintained (annual review) ☐ Relationship terminated

DATE OF NEXT REVIEW

DATE AND SIGNATURE

DRAFT